

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 ENGROSSED SENATE
5 BILL NO. 1916

By: Reinhardt of the Senate

and

Tedford of the House

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9 An Act relating to the Insurance Department; amending
10 36 O.S. 2021, Sections 301, 1802, 1804, and 1805,
11 which relate to supervisors and conservators of
12 insurers; creating certain division within the
13 Insurance Department; defining terms; modifying
14 definitions; establishing certain powers for certain
15 supervisor; updating statutory language; establishing
16 certain powers for certain conservator; updating
17 statutory references; allowing the Insurance
18 Commissioner to employ or contract with certain
19 persons; establishing certain expenses as fixed by
20 the Commissioner; allowing the Commissioner to audit
21 certain persons or books; establishing certain
22 expenses as cost of administration; prohibiting
23 records to be considered certain records; prohibiting
24 disclosure of certain records in certain situations;
 construing provisions; establishing immunity of
 certain persons; amending 36 O.S. 2021, Sections
 1901, as last amended by Section 1, Chapter 371,
 O.S.L. 2023, and 1914 (36 O.S. Supp. 2025, Section
 1901), which relate to rehabilitation and
 liquidation; defining terms; modifying definitions;
 prohibiting records to be considered certain records;
 prohibiting disclosure of certain records in certain
 situations; construing provisions; allowing the
 Commissioner to employ or contract with certain
 persons; establishing certain expenses as fixed by
 the Commissioner; allowing the Commissioner to audit
 certain persons or books; establishing certain
 expenses as cost of administration; construing
 provisions; authorizing the Oklahoma Receivership

1 Office to deposit certain funds; allowing combining
2 of certain funds; establishing use of certain funds;
3 establishing certain immunity and indemnification;
4 amending 36 O.S. 2021, Sections 1927.1 and 1937,
5 which relate to rehabilitation and liquidation;
6 updating statutory language; updating statutory
7 references; establishing purpose of certain funds for
8 certain immunity and indemnification obligations;
9 establishing certain protections for certain
10 contracted persons; making language gender neutral
11 providing for codification; and providing an
12 effective date.

13 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

14 SECTION 1. AMENDATORY 36 O.S. 2021, Section 301, is
15 amended to read as follows:

16 Section 301. A. The Insurance Department ~~of the State of~~
17 ~~Oklahoma~~ is hereby created, and shall consist of such divisions,
18 sections, bureaus, offices, and positions as may be established by
19 the Insurance Commissioner, or by law. The Insurance Commissioner
20 shall be the chief executive officer of the ~~Insurance~~ Department.
21 The powers and duties of the ~~Insurance~~ Commissioner shall be those
22 created by the Oklahoma Insurance Code. The ~~Insurance~~ Department
23 shall be situated in one area in the State Capitol or some other
24 location conveniently accessible to the general public subject to
the provisions of Sections 63 and 94 of Title 74 of the Oklahoma
Statutes and Section 580:20-13-5 of the Oklahoma Administrative
Code.

1 B. There is hereby established a division within the Department
2 to handle the administration and operation of supervisions,
3 conservatorships, and receiverships in accordance with the
4 provisions of Sections 1801 through 1938 of this title. The
5 division shall be under the direction of the Commissioner and any
6 appointed supervisor or conservator. The Commissioner shall take
7 all appropriate actions necessary to ensure a smooth conversion of
8 all existing supervisions, conservatorships, and receiverships to
9 the division by no later than January 1, 2028.

10 SECTION 2. AMENDATORY 36 O.S. 2021, Section 1802, is
11 amended to read as follows:

12 Section 1802. As used in ~~Article 18 of the Insurance Code, the~~
13 ~~following words and terms set forth below shall have the meanings~~
14 ~~ascribed to them unless the context otherwise indicates~~ this act:

15 1. "Commissioner" means the Insurance Commissioner of this
16 state;

17 2. "Consent" means any agreement by the insurer to either
18 supervision or conservatorship;

19 3. "Conservator" means the Commissioner or his or her designee;

20 4. "Exceeded its powers" includes, but is not limited to, the
21 following circumstances:

22 a. an insurer's refusal to permit examination of its
23 books, papers, accounts, records, or affairs by the
24 Commissioner, his or her designee, or duly

1 commissioned examiners; or if such insurer being
2 organized in the State of Oklahoma removes from the
3 state such books, papers, accounts, or records
4 necessary for an examination of such insurer,

5 b. an insurer's failure to promptly answer inquiries
6 authorized by paragraph 7 of Section 1905 of this
7 title,

8 c. an insurer's neglect or refusal to observe an order of
9 the Commissioner to make good, within the time
10 prescribed by law, any prohibited deficiency in its
11 capital or surplus,

12 d. an insurer, without first obtaining written approval
13 of the Commissioner, by contract or otherwise:

14 (1) totally reinsuring its entire outstanding
15 business, or

16 (2) merging or consolidating substantially its entire
17 property or business with another approved
18 insurer, or

19 e. an insurer continuing to write business after its
20 license has been revoked or suspended;

21 5. "Insolvent" or "insolvency" means any actual or threatened
22 insurer delinquency including, but not limited to, any one or more
23 of the following circumstances:

- a. an insurer's required surplus or capital is impaired to an extent prohibited by law,
- b. an insurer continues to write new business when it is not possessed of the surplus or capital required of it by law,
- c. the business of any such insurer is being conducted fraudulently,
- d. any such insurer attempts to dissolve or liquidate without first having made provisions, satisfactory to the Commissioner, for liabilities arising from policies of insurance issued by such insurer, or
- e. the insurer has made investments in violation of the Oklahoma Insurance Code or has knowingly over-valued insurer's assets;

6. "Insurer" is a person, organization, association or company, authorized or unauthorized, admitted or nonadmitted, acting as an insurer, or as principal or agent of an insurer, including any domestic, foreign or alien insurer, as defined in Article 6 of the Insurance Code, and including stock companies, reciprocals or insurance exchanges, Lloyds Associations, fraternal benefit societies, stipulated premium companies, and mutual companies of all kinds, including statewide mutual assessment corporations, local mutual aids, burial associations, county mutual insurance companies

1 and farm mutual insurance companies, and health maintenance
2 organizations;

3 ~~3. "Insolvent" or "insolvency" means any actual or threatened~~
4 ~~insurer delinquency including, but not limited to, any one or more~~
5 ~~of the following circumstances:~~

6 a. ~~an insurer's required surplus or capital is impaired~~
7 ~~to an extent prohibited by law,~~

8 b. ~~an insurer continues to write new business when it is~~
9 ~~not possessed of the surplus or capital required of it~~
10 ~~by law,~~

11 c. ~~the business of any such insurer is being conducted~~
12 ~~fraudulently,~~

13 d. ~~any such insurer attempts to dissolve or liquidate~~
14 ~~without first having made provisions, satisfactory to~~
15 ~~the Commissioner, for liabilities arising from~~
16 ~~policies of insurance issued by such insurer; or~~

17 e. ~~the insurer has made investments in violation of the~~
18 ~~Insurance Code or has knowingly over-valued insurer's~~
19 ~~assets;~~

20 ~~4. "Exceeded its powers" includes, but is not limited to, the~~
21 ~~following circumstances:~~

22 a. ~~an insurer's refusal to permit examination of its~~
23 ~~books, papers, accounts, records or affairs by the~~
24 ~~Commissioner, his or her deputy or duly commissioned~~

~~examiners; or if such insurer being organized in the
State of Oklahoma removes from the state such books,
papers, accounts or records necessary for an
examination of such insurer,~~

~~b. an insurer's failure to promptly answer inquiries
authorized by Section 1905(6) of this title,~~

~~c. an insurer's neglect or refusal to observe an order of
the Commissioner to make good, within the time
prescribed by law, any prohibited deficiency in its
capital or surplus,~~

~~d. an insurer, without first obtaining written approval
of the Commissioner, by contract or otherwise:~~

~~(1) totally reinsuring its entire outstanding
business, or~~

~~(2) merging or consolidating substantially its entire
property or business with another approved
insurer, or~~

~~e. an insurer continuing to write business after its
license has been revoked or suspended; and~~

~~5. "Consent" means any agreement by the insurer to either
supervision or conservatorship~~

~~7. "Oklahoma Receivership Office" means a division within the
Insurance Department that handles the administration and operation~~

1 of supervisions, conservatorships, and receiverships in accordance
2 with the provisions of Sections 1801 through 1938 of this title; and

3 8. "Supervisor" means the Commissioner or his or her designee.

4 SECTION 3. AMENDATORY 36 O.S. 2021, Section 1804, is
5 amended to read as follows:

6 Section 1804. A. During any period of supervision, the
7 Commissioner may appoint a supervisor for such insurer and provide
8 that the insurer may not do any of the following things without the
9 prior approval of the Commissioner or ~~his~~ the supervisor:

10 1. Dispose, convey or encumber any of its assets or its
11 business in force;

12 2. Withdraw funds from bank accounts;

13 3. Lend funds;

14 4. Invest funds;

15 5. Transfer property;

16 6. Incur any debt, obligation or liability;

17 7. Merge or consolidate with another company; or

18 8. Enter into any new reinsurance contract or treaty.

19 B. In addition, the Commissioner or the supervisor may require
20 of the insurer, the following:

21 1. Periodic actuarial reviews; and

22 2. That the insurer limit or cease writing certain lines of
23 insurance.

1 C. Within the limits of duties imposed upon them, appointed
2 supervisors shall possess all the powers given to a supervisor and,
3 in the exercise of those powers, shall be subject to all duties,
4 powers, and limitations imposed upon the supervisor.

5 SECTION 4. AMENDATORY 36 O.S. 2021, Section 1805, is
6 amended to read as follows:

7 Section 1805. A. If, after notice and hearing, at the
8 conclusion of the ~~90-day~~ ninety-day period the Insurance
9 Commissioner determines that the insurer has failed to comply with
10 ~~his~~ the Commissioner's lawful requirements, or upon consent of the
11 insurer, ~~he~~ the Commissioner may appoint a conservator, ~~who~~ who. Within
12 the limits of the duties imposed upon the conservator, the
13 conservator shall possess all the powers given to a conservator and,
14 in the exercise of those powers, shall be subject to all of the
15 duties, powers, and limitations imposed upon the conservator. The
16 conservator shall immediately:

17 1. Take charge of such insurer and all of the property, books,
18 records and effects;

19 2. Conduct its business; and

20 3. Take such other steps toward the removal of the causes and
21 conditions which have necessitated such order, as the Commissioner
22 may direct.

1 B. During the pendency of conservatorship, the conservator
2 shall make such reports as may be required by the Commissioner, and
3 may:

4 1. Take all necessary measures to preserve, protect and recover
5 any assets or property of such insurer including claims or causes of
6 action belonging to ~~or which~~ or which may be asserted by such insurer
7 in his or her own name as conservator; and

8 2. File, prosecute and defend any legal actions which have been
9 filed, or which may thereafter be filed, by or against such insurer,
10 as ~~he~~ the conservator deems necessary to protect all of the
11 interested parties or any property affected ~~thereby~~. The
12 conservator shall file all quarterly and annual reports required by
13 the Oklahoma Insurance Code and in the same manner as the insurer.

14 C. If upon appointment of a conservator or at any time during
15 the pendency of such conservatorship it appears that the insurer can
16 best be protected by reinsuring the same, the conservator may, with
17 the approval of the Commissioner, after appraisal of all assets of
18 the insurer:

19 1. Reinsure all or part of such insurer's policies or
20 certificates of insurance with any solvent insurers authorized to
21 transact business in this state; and

22 2. To the extent that such insurer is possessed of reserves
23 attributable to such policies or certificates of insurance, transfer
24 to the reinsuring company such reserves or any portion thereof as

1 may be required to consummate the reinsurance of such policies,
2 which transfer of reserves shall not be deemed a preference of
3 creditors.

4 D. If the Commissioner is satisfied that the insurer is not in
5 condition to continue business in the interest of its policy or
6 certificate holders, under the conservator, the Commissioner shall
7 apply to the appropriate court for an order appointing him or her as
8 receiver for the insurer, under the provisions of ~~Article 18~~
9 Sections 1801 through 1938 of this title. It shall be in the
10 discretion of the Commissioner to determine whether or not he or she
11 will operate the insurance company through a conservator, as
12 provided above, or apply for an order appointing ~~him~~ the
13 Commissioner receiver.

14 E. ~~The cost incident to the supervisor's and conservator's~~
15 ~~service~~ The Commissioner may employ or contract with an appointed
16 supervisor or conservator, legal counsel, actuaries, accountants,
17 appraisers, consultants, clerks, assistants, or other personnel as
18 may be deemed necessary. Any appointed supervisor or conservator
19 with whom the Commissioner contracts pursuant to this subsection
20 shall be considered to be an agent of the Commissioner only in the
21 Commissioner's capacity as supervisor or conservator and shall not
22 be considered an agent of the state.

23 F. All expenses of the supervision or conservatorship shall be
24 fixed by the Commissioner and paid from the assets and funds of the

1 insurer as the Commissioner may determine. The cost of the
2 supervisor's or conservator's service ~~must~~ shall be reasonable under
3 the circumstances and shall continue no longer than necessary to
4 preserve the assets of the insurer, certificate holders and the
5 policyholders. All legal work required under this act shall be
6 performed by the Commissioner, ~~his~~ the appointed supervisor or
7 conservator, the Commissioner's employees, or ~~special~~ attorneys
8 employed by the Commissioner. The cost of such attorneys' services
9 ~~must~~ shall be reasonable under the circumstances and shall be paid
10 from the assets and funds of the insurer to the Commissioner.

11 G. The Commissioner, in his or her discretion, may require
12 audits to be made of the books of any appointed supervisor or
13 conservator relating to any supervision or conservatorship
14 established under this act, and a report of each audit shall be
15 filed with the Commissioner. The books, records, and other
16 documents of the supervision or conservatorship shall be made
17 available to the auditor at any time without notice. The expenses
18 of each audit shall be considered a cost of administration of the
19 supervision or conservatorship.

20 H. The records of an insurer held by the Commissioner,
21 supervisor, conservator, and his or her employees shall not be:

- 22 1. Considered records of the Insurance Department;
23 2. Public records;
24 3. Subject to subpoena; and

1 4. Disclosed, except in connection with administrative or
2 receivership proceedings by the Commissioner.

3 I. The provisions of any law governing the procurement of goods
4 and services by the state or an official of the executive branch
5 shall not apply to any contract entered into by the Commissioner or
6 the Commissioner's authorized signatory as conservator or
7 supervisor.

8 ~~F.~~ J. The supervision or conservation may continue until the
9 Commissioner ~~(1)~~ feels certain that the insurer has corrected any
10 deficiencies that caused the supervision or conservation, or ~~(2)~~ a
11 receivership has been granted by the Court.

12 SECTION 5. NEW LAW A new section of law to be codified
13 in the Oklahoma Statutes as Section 1813 of Title 36, unless there
14 is created a duplication in numbering, reads as follows:

15 The Insurance Commissioner, his or her employees, current or
16 former appointed supervisor or conservator, or the supervisor's or
17 conservator's contractors shall:

18 1. Have no liability and no cause of action of any nature shall
19 arise against such person for any action taken in performance of his
20 or her powers and duties pursuant to this act; and

21 2. Be indemnified to the same extent as a receiver and the
22 receiver's employees and contractors are indemnified pursuant to
23 Section 1937 of Title 36 of the Oklahoma Statutes.

1 SECTION 6. AMENDATORY 36 O.S. 2021, Section 1901, as
2 last amended by Section 1, Chapter 371, O.S.L. 2023 (36 O.S. Supp.
3 2025, Section 1901), is amended to read as follows:

4 Section 1901. ~~For the purpose of Article 19 of the Oklahoma~~
5 ~~Insurance Code~~ As used in this act:

6 1. "Ancillary state" means any state other than a domiciliary
7 state;

8 2. "Delinquency proceeding" means any proceeding commenced
9 against an insurer pursuant to this act for the purpose of
10 liquidating, rehabilitating, reorganizing, or conserving such
11 insurer;

12 3. "Domiciliary state" means the state in which an insurer is
13 incorporated or organized, or in the case of an insurer incorporated
14 or organized in a foreign country, the state in which such insurer,
15 having become authorized to do business in such state, has at the
16 commencement of delinquency proceedings the largest amount of its
17 assets held in trust and assets held on deposit for the benefit of
18 its policyholders or policyholders and creditors in the United
19 States, and any such insurer deemed to be domiciled in such state;

20 4. "Foreign country" means territory not in any state;

21 5. "General assets" means all property, real, personal, or
22 otherwise, not specifically mortgaged, pledged, deposited, or
23 otherwise encumbered for the security or benefit of specified
24 persons or a limited class or classes of persons, and as to such

1 specifically encumbered property, the term includes all such
2 property or its proceeds in excess of the amount necessary to
3 discharge the sum or sums secured. Assets held in trust and assets
4 held on deposit for the security or benefit of all policyholders or
5 all policyholders and creditors in the United States shall be deemed
6 general assets;

7 6. "Insurer" means any person, firm, corporation, health
8 maintenance organization, association, or aggregation of persons
9 doing an insurance business and subject to the insurance supervisory
10 authority of, or to liquidation, rehabilitation, reorganization, or
11 conservation by the Insurance Commissioner or the equivalent
12 insurance supervisory official of another state;

13 7. "Impairment" or "insolvency" means the capital of a stock
14 insurer, or limited stock life, accident and health insurer, the net
15 assets of a Lloyds association, or the surplus of a mutual or
16 reciprocal insurer, shall be deemed to be impaired and the insurer
17 shall be deemed to be insolvent, when such insurer shall not be
18 possessed of assets at least equal to all liabilities and required
19 reserves together with its total issued and outstanding capital
20 stock if a stock insurer, the net assets if a Lloyds association, or
21 the minimum surplus if a mutual or reciprocal insurer required by
22 this Code to be maintained for the kind or kinds of insurance it is
23 then authorized to transact;
24

1 2. ~~"Insurer" means any person, firm, corporation, health~~
2 ~~maintenance organizations, association or aggregation of persons~~
3 ~~doing an insurance business and subject to the insurance supervisory~~
4 ~~authority of, or to liquidation, rehabilitation, reorganization or~~
5 ~~conservation by the Insurance Commissioner or the equivalent~~
6 ~~insurance supervisory official of another state;~~

7 3. ~~"Delinquency proceeding" means any proceeding commenced~~
8 ~~against an insurer pursuant to this article for the purpose of~~
9 ~~liquidating, rehabilitating, reorganizing or conserving such~~
10 ~~insurer;~~

11 4. ~~"State" means any state of the United States and also the~~
12 ~~District of Columbia and Puerto Rico;~~

13 5. ~~"Foreign country" means territory not in any state;~~

14 6. ~~"Domiciliary state" means the state in which an insurer is~~
15 ~~incorporated or organized, or in the case of an insurer incorporated~~
16 ~~or organized in a foreign country, the state in which such insurer,~~
17 ~~having become authorized to do business in such state, has at the~~
18 ~~commencement of delinquency proceedings, the largest amount of its~~
19 ~~assets held in trust and assets held on deposit for the benefit of~~
20 ~~its policyholders or policyholders and creditors in the United~~
21 ~~States, and any such insurer is deemed to be domiciled in such~~
22 ~~state;~~

23 7. ~~"Ancillary state" means any state other than a domiciliary~~
24 ~~state;~~

1 ~~8. "Reciprocal state" means any state other than this state~~
2 ~~that has enacted a law that sets forth a scheme for the~~
3 ~~administration of an insurer in receivership by the state's~~
4 ~~insurance commissioner or comparable insurance regulatory official;~~

5 ~~9. "General assets" means all property, real, personal or~~
6 ~~otherwise, not specifically mortgaged, pledged, deposited or~~
7 ~~otherwise encumbered for the security or benefit of specified~~
8 ~~persons or a limited class or classes of persons, and as to such~~
9 ~~specifically encumbered property the term includes all such property~~
10 ~~or its proceeds in excess of the amount necessary to discharge the~~
11 ~~sum or sums secured thereby. Assets held in trust and assets held~~
12 ~~on deposit for the security or benefit of all policyholders or all~~
13 ~~policyholders and creditors in the United States shall be deemed~~
14 ~~general assets;~~

15 ~~10. "Preferred claim" means any claim with respect to which the~~
16 ~~law of the state or of the United States accords priority of~~
17 ~~payments from the general assets of the insurer;~~

18 8. "Oklahoma Receivership Office" means a division within the
19 Insurance Department that handles the administration and operation
20 of supervisions, conservatorships, and receiverships in accordance
21 with the provisions of Sections 1801 through 1938 of this title;

22 9. "Preferred claim" means any claim with respect to which the
23 laws of the state or of the United States accords priority of
24 payments from the general assets of the insurer;

1 10. "Receiver" means a receiver, liquidator, rehabilitator, or
2 conservator as the context may require;

3 11. "Reciprocal state" means any state other than this state
4 that has enacted a law that sets forth a scheme for the
5 administration of an insurer in receivership by the state's
6 insurance commissioner or comparable insurance regulatory official;

7 12. "Secured claim" means any claim secured by mortgage, trust
8 deed, pledge, deposit as security, escrow, or otherwise, but not
9 including special deposit claim or claims against general assets.
10 The term also includes claims that more than four (4) months prior
11 to the commencement of delinquency proceedings in the state of the
12 insurer's domicile have become liens upon specific assets by reason
13 of judicial process;

14 ~~11. 13.~~ "Special deposit claim" means any claim secured by a
15 deposit made pursuant to statute for the security or benefit of a
16 limited class or classes of persons, but not including any general
17 assets;

18 ~~12. "Secured claim" means any claim secured by mortgage, trust~~
19 ~~deed, pledge, deposit as security, escrow, or otherwise, but not~~
20 ~~including special deposit claim or claims against general assets.~~
21 ~~The term also includes claims which more than four (4) months prior~~
22 ~~to the commencement of delinquency proceedings in the state of the~~
23 ~~insurer's domicile have become liens upon specific assets by reason~~
24 ~~of judicial process;~~

1 ~~13. "Receiver" means receiver, liquidator, rehabilitator, or~~
2 ~~conservator as the context may require; and~~

3 14. "State" means any state, territory, or district of the
4 United States including, but not limited to, the District of
5 Columbia and Puerto Rico; and

6 15. "Qualified financial contract" means a commodity contract,
7 forward contract, repurchase agreement, securities contract, swap
8 agreement, and any similar agreement the Commissioner determines by
9 rule, regulation, resolution, or order to be a qualified financial
10 contract.

11 SECTION 7. AMENDATORY 36 O.S. 2021, Section 1914, is
12 amended to read as follows:

13 Section 1914. A. Whenever under ~~this article~~ Section 1901
14 through 1938 of this title a receiver is to be appointed in
15 delinquency proceedings for a domestic or alien insurer, the court
16 shall appoint the Insurance Commissioner as the receiver. The court
17 shall order the ~~Insurance Commissioner forthwith~~ to take possession
18 of the assets of the insurer and to administer the same under the
19 orders of the court.

20 B. 1. As domiciliary receiver, the ~~Insurance~~ Commissioner
21 shall be vested by operation of law with the title to all of the
22 property, contracts, and rights of action and all of the books and
23 records of the insurer, wherever located, as of the date of entry of
24 the order directing the Commissioner to rehabilitate or liquidate a

1 domestic insurer or to liquidate the United States branch of an
2 alien insurer domiciled in this state, and the Commissioner shall
3 have the right to recover the same and reduce the same to
4 possession; except that ancillary receivers in reciprocal states
5 shall have, as to assets located in their respective states, the
6 rights and powers which are herein prescribed for ancillary
7 receivers appointed in this state as to assets located in this
8 state.

9 2. The records of an insurer held by the Commissioner as
10 receiver, the assistant receiver, and his or her employees, shall
11 not be:

- 12 a. considered records of the Insurance Department,
- 13 b. public records,
- 14 c. subject to subpoena, and
- 15 d. disclosed except in connection with administrative or
16 receivership proceedings by the Commissioner.

17 C. The recording of a certified copy of the order directing
18 possession to be taken in the office of the county clerk of the
19 county where the proceedings are pending shall impart the same
20 notice as would be imparted by a deed, bill of sale, or other
21 evidence of title duly recorded or filed.

22 D. The ~~Insurance~~ Commissioner as domiciliary receiver shall be
23 responsible for the proper administration of all assets coming into
24 the Commissioner's possession or control. The court may at any time

1 require a bond from the Commissioner or any assistants or deputies
2 if deemed desirable for the protection of the assets.

3 E. Upon taking possession of the assets of an insurer, the
4 domiciliary receiver shall, subject to the direction of the court,
5 immediately proceed to conduct the business of the insurer or to
6 take such steps as are authorized by this article for the purpose of
7 rehabilitating, liquidating, or conserving the affairs or assets of
8 the insurer.

9 F. 1. In connection with delinquency proceedings, the
10 Insurance Commissioner may appoint one or more assistant
11 ~~commissioners~~ receivers to act for the Commissioner ~~and may employ~~
12 ~~such counsel, clerks, and assistants as are deemed necessary.~~ The
13 Commissioner may employ or contract with an assistant receiver,
14 legal counsel, actuaries, accountants, appraisers, consultants,
15 clerks, assistants, or other contractors as may be deemed necessary.
16 Any appointed assistant receiver with whom the Commissioner
17 contracts pursuant to this subsection shall be considered to be an
18 agent of the Commissioner only in the Commissioner's capacity as
19 receiver and shall not be considered an agent of the state.

20 2. The compensation of the assistant ~~commissioners~~ receivers,
21 counsel, actuaries, accountants, consultants, clerks, assistants, or
22 ~~deputies~~ other contractors and all expenses of taking possession of
23 the insurer and of conducting the proceedings shall be fixed by the
24 receiver, subject to the approval of the court, and shall be paid

1 out of the funds or assets of the insurer. Within the limits of
2 duties imposed upon them, assistant ~~commissioners~~ receivers shall
3 possess all the powers given to the receiver and, in the exercise of
4 those powers, shall be subject to all of the duties, powers, and
5 limitations imposed upon the receiver with respect to such
6 proceedings.

7 ~~2.~~ 3. The Commissioner, as receiver, ~~is~~ shall be prohibited
8 from appointing any person who is related to the Commissioner within
9 the third degree of consanguinity or affinity. Any appointment in
10 violation of this paragraph ~~is~~ shall be void.

11 ~~3.~~ 4. The Commissioner, as receiver, ~~is~~ shall be prohibited
12 from entering into any contract with any person who is related to
13 the Commissioner within the third degree of consanguinity or
14 affinity. Any contract in violation of this paragraph ~~is~~ shall be
15 void.

16 G. The court, as it seems desirable, may require audits to be
17 made of the books of the receiver relating to any receivership
18 established pursuant to this act, and a report of each audit shall
19 be filed with the receiver and the court. The books, records, and
20 other documents of the receivership shall be made available to the
21 auditor at any time without notice. The expenses of each audit
22 shall be considered a cost of administration of the receivership.

23 H. The provisions of any law governing the procurement of goods
24 and services by the state or an official of the executive branch

1 shall not apply to any contract entered into by the Commissioner or
2 the Commissioner's authorized signatory as receiver.

3 SECTION 8. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 1914.1 of Title 36, unless there
5 is created a duplication in numbering, reads as follows:

6 A. The Oklahoma Receivership Office shall be authorized to
7 deposit funds and assets held prior to the effective date of this
8 act pursuant to Sections 1901 through 1938 of Title 36 of the
9 Oklahoma Statutes into one or more accounts or investment accounts,
10 in one or more state or national banks, saving banks, savings and
11 loan associations, trust companies, investment firms, or other
12 appropriate financial institutions. Funds deposited pursuant to
13 this section may be:

14 1. Combined to yield the highest rate of return on deposits, or
15 in any other way to facilitate the efficient operation of the
16 Oklahoma Receivership Office and the respective receiverships under
17 its jurisdiction; and

18 2. Used for the purpose of operating the division, for the
19 expenses of the respective jurisdiction in accordance with the
20 provisions of Sections 1901 through 1938 of Title 36 of the Oklahoma
21 Statutes.

22 B. Funds deposited pursuant to subsection A of this section
23 shall be continuing funds, are not funds of this state, the
24

1 Insurance Department, or any other agency of this state, and shall
2 be in no way commingled or combined with funds of this state.

3 SECTION 9. AMENDATORY 36 O.S. 2021, Section 1927.1, is
4 amended to read as follows:

5 Section 1927.1. A. The priority of distribution of claims from
6 the insurer's estate shall be in accordance with the order in which
7 each class of claims is set forth in this section. Before the
8 members of the next class receive any payment, every claim in each
9 class shall be:

10 1. Paid in full; or

11 2. Protected by adequate funds retained for such payment.

12 Once such funds are approved by the court and paid or retained by
13 the liquidator, the insurer's estate shall have no further liability
14 to members of that class except to the extent of the retained funds
15 and any other undistributed funds. Payment of retained funds
16 pursuant to court order under this section extinguishes the
17 potential liability of the receiver to the United States or any
18 other governmental entity. No subclasses shall be established
19 within any class except as otherwise provided by law. No claim by a
20 shareholder, policyholder or other creditor shall be permitted to
21 circumvent the priority classes through the use of equitable
22 remedies. The order of distribution of claims shall be as provided
23 in subsection B of this section.

1 B. 1. Class 1. The reasonable costs and expenses of
2 administration expressly approved by the receiver, including but not
3 limited to the following:

- 4 a. the actual and necessary costs of preserving or
5 recovering the assets of the insurer,
- 6 b. compensation for all authorized services rendered in
7 the conservation, rehabilitation or liquidation,
- 8 c. any necessary filing or recordation fees,
- 9 d. the fees and mileage payable to witnesses, including
10 experts, and other litigation costs and expenses,
- 11 e. authorized reasonable attorney fees and other
12 professional services rendered in the conservation,
13 rehabilitation or liquidation, and
- 14 f. any reasonable expenses that were incurred in
15 furtherance of activities that provided a material
16 economic benefit to the estate.

17 2. Class 2. The administrative expenses of guaranty
18 associations. For purposes of this section these expenses shall be
19 the reasonable expenses incurred by guaranty associations where the
20 expenses are not payments or expenses which are required to be
21 incurred as direct policy benefits in fulfillment of the terms of
22 the insurance contract or policy, and that are of the type and
23 nature that, but for the activities of the guaranty association
24 otherwise would have been incurred by the receiver, including but

1 not limited to evaluations of policy coverage, activities involved
2 in the adjustment and settlement of claims under policies, including
3 those of in-house or outside adjusters, and the reasonable expenses
4 incurred in connection with the arrangements for ongoing coverage
5 through transfer to other insurers, policy exchanges or maintaining
6 policies in force. The receiver may in his or her sole discretion
7 approve as an administrative expense under this section any other
8 reasonable expenses of the guaranty association if the receiver
9 finds:

- 10 a. the expenses are not expenses required to be paid or
11 incurred as direct policy benefits by the terms of the
12 policy, and
- 13 b. the expenses were incurred in furtherance of
14 activities that provided a material economic benefit
15 to the estate as a whole, irrespective of whether the
16 activities resulted in additional benefits to covered
17 claimants.

18 The court shall approve such expenses unless it finds the receiver
19 abused his or her discretion in approving the expenses. If the
20 receiver determines that any administrative expenses of a guaranty
21 association were not reasonable expenses, but were nevertheless paid
22 out of a statutory deposit or the proceeds of any bond or other
23 asset located in another state or foreign country, then the court
24 shall adjudge the Class 3 claims of that association to have been

1 paid to the extent of the amount of unreasonable expenses thus paid
2 from those assets.

3 If the receiver determines that the assets of the estate will be
4 sufficient to pay all Class 1 claims in full, Class 2 claims shall
5 be paid, provided that the liquidator shall secure from each of the
6 associations receiving disbursements pursuant to this section an
7 agreement to return to the liquidator such disbursements, together
8 with investment income actually earned on such disbursements, as may
9 be required to pay Class 1 claims. No bond shall be required of any
10 such association.

11 3. Class 3. All claims under policies including claims of the
12 federal or any state or local government for losses incurred ("loss
13 claims") including third-party claims, claims for unearned premiums,
14 all claims of a guaranty association for payment of covered claims
15 or covered obligations of the insurer and all claims of a guaranty
16 association for reasonable expenses other than those included in
17 Class 2. All claims under life and health insurance and annuity
18 policies, whether for death proceeds, health benefits, annuity
19 proceeds, or investment values shall be treated as loss claims.
20 That portion of any loss, indemnification for which is provided by
21 other benefits or advantages recovered by the claimant, shall not be
22 included in this class, other than benefits or advantages recovered
23 or recoverable in discharge of familial obligation of support or by
24 way of succession at death or as proceeds of life insurance, or as

1 gratuities. No payment by an employer to his employee shall be
2 treated as a gratuity.

3 Notwithstanding the foregoing, the following claims shall be
4 excluded from Class 3 priority:

- 5 a. obligations of the insolvent insurer arising out of
6 reinsurance contracts,
- 7 b. obligations incurred after the expiration date of the
8 insurance policy or after the policy has been replaced
9 by the insured or canceled at the insured's request or
10 after the policy has been canceled as provided in this
11 act. Notwithstanding the provisions of this
12 paragraph, earned premium claims on policies, other
13 than reinsurance agreements, shall not be excluded,
- 14 c. obligations to insurers, insurance pools or
15 underwriting associations and their claims for
16 contribution, indemnity or subrogation, equitable or
17 otherwise,
- 18 d. any claim which is in excess of any applicable limits
19 provided in the insurance policy issued by the
20 insolvent insurer,
- 21 e. any amount accrued as punitive or exemplary damages
22 unless expressly covered under the terms of the
23 policy, and
24

1 f. tort claims of any kind against the insurer, and
2 claims against the insurer for bad faith or wrongful
3 settlement practices.

4 4. Class 4. Claims of the federal government other than those
5 claims included in Class 3.

6 5. Class 5. Debts due employees for services, benefits,
7 contractual or otherwise due arising out of such reasonable
8 compensation to employees for services performed to the extent that
9 they do not exceed two (2) months of monetary compensation and
10 represent payment for services performed within six (6) months
11 before the filing of the petition for liquidation or, if
12 rehabilitation preceded liquidation, within one (1) year before the
13 filing of the petition for rehabilitation. Principal officers and
14 directors shall not be entitled to the benefit of this priority
15 except as otherwise approved by the liquidator and the court. This
16 priority shall be in lieu of any other similar priority which may be
17 authorized by law as to wages or compensation of employees.

18 6. Class 6. Claims of any person, including claims of state or
19 local governments, except those specifically classified elsewhere in
20 this section.

21 7. Class 7. Claims for commissions and service fees, and
22 claims of attorneys for fees and expenses owed them by a person for
23 services rendered in opposing a formal delinquency proceeding. In
24 order to prove the claim, the claimant ~~must~~ shall show that the

1 insurer which is the subject of the delinquency proceeding incurred
2 such fees and expenses based on its best knowledge, information and
3 belief, formed after reasonable inquiry indicating opposition was in
4 the best interests of the person, was well grounded in fact and was
5 warranted by existing law or a good-faith argument for the
6 extension, modification or reversal of existing law, and that
7 opposition was not pursued for any improper purpose, such as to
8 harass or to cause unnecessary delay or needless increase in the
9 cost of the litigation.

10 8. Class 8. Claims of any state or local government for a
11 penalty or forfeiture, but only to the extent of the pecuniary loss
12 sustained from the act, transaction or proceeding out of which the
13 penalty or forfeiture arose, with reasonable and actual costs
14 occasioned thereby. The remainder of such claims shall be postponed
15 to the class of claims under paragraph 9 of this subsection.

16 9. Class 9. Surplus or contribution notes or similar
17 obligations, premium refunds on assessable policies, interest on
18 claims of Classes 1 through 8 and any other claims specifically
19 subordinated to this class.

20 10. Class 10. ~~a.~~ Claims of shareholders or other owners
21 arising out of their capacity as shareholders or other owners, or
22 arising in any other capacity or facts except as they may be
23 qualified in Class 3 or 4 above; provided, however, that no
24 shareholder, member or other owner shall be entitled to, or receive,

1 any distribution from the insolvent insurer's estate under this
2 paragraph, if:

3 ~~(1)~~ a. the intentional wrongdoing, fraud, gross negligence,
4 negligence or other act, failure to act, transaction
5 or proceeding of such shareholder, member or owner,
6 alone or in concert with others, or of a director or
7 officer of the insolvent insurer, is found by a court
8 of competent jurisdiction or by the receiver in his or
9 her reasonable discretion, to have caused, or to have
10 been a contributing factor to, the insolvency of the
11 insolvent insurer,

12 ~~(2)~~ b. funds were collected from the shareholder, member or
13 other owner, either directly or through an insurance
14 carrier, fidelity bond issuer or other entity, as a
15 consequence of, or related to, a claim made or brought
16 by the receiver of said insurer, or

17 ~~(3)~~ c. any of the funds available for distribution consist
18 of punitive damages recovered by the receiver of said
19 estate from any source based upon any claim made or
20 brought by the receiver.

21 C. 1. In the event there is no eligible shareholder, member or
22 other owner entitled to distribution in accordance with this
23 ~~paragraph~~ section, the remaining funds and other property of the
24 insolvent insurer's estate, if any, shall be distributed to a fund

1 established and held in the name of, and for the use and benefit of,
2 the receiver, through the Oklahoma Receivership Office ~~or any~~
3 ~~similar entity established by the receiver~~, which shall be used in
4 the administration of other insurers in rehabilitation or
5 liquidation.

6 ~~b.~~ 2. All funds distributed to the receiver under this
7 paragraph shall be advanced to and utilized by the receiver's staff
8 engaged in the rehabilitation or liquidation of insolvent insurance
9 business companies for the following purposes:

- 10 ~~(1)~~ a. the administration of liquidations of estates which
11 temporarily or permanently do not have the financial
12 capability to administer the liquidation, including
13 the prosecution of claims of the receiver, ~~or~~
14 ~~(2)~~ b. the prosecution of petitions to place insurers in
15 rehabilitation or liquidation, or
16 c. the immunity and indemnification obligations of the
17 insurer pursuant to Section 1937 of this title.

18 ~~In the event such~~ 3. ~~Such~~ funds ~~are~~ distributed to or for an
19 insolvent insurer, ~~the receiver shall obtain from the insurer a~~
20 ~~promissory note or other evidence of indebtedness, secured by~~
21 ~~collateral if possible, for the amount distributed, which shall be~~
22 treated as a Class 1 expense under paragraph 1 of this subsection.
23 The receiver shall make good-faith efforts to collect reimbursement
24 of any such loans. ~~No funds distributed to the receiver under this~~

1 ~~paragraph shall be used to pay claims other than Class 1 claims~~
2 ~~under paragraph 1 of this subsection.~~ The funds are not funds of
3 ~~the State of Oklahoma~~ this state and are not funds of the ~~Oklahoma~~
4 Insurance Department or any other agency of ~~the State of Oklahoma~~
5 this state.

6 ~~This paragraph shall apply to the administration of all receivership~~
7 ~~estates open and ongoing as of November 1, 2014, and to all~~
8 ~~receivership proceedings commenced after November 1, 2014.~~

9 ~~C.~~ D. If any claimant of this state, another state or foreign
10 country shall be entitled to or shall receive a dividend upon his or
11 her claim out of a statutory deposit or the proceeds of any bond or
12 other asset located in another state or foreign country, unless such
13 deposit or proceeds shall have been delivered to the domiciliary
14 liquidator, then the claimants shall not be entitled to any further
15 dividend from the receiver until and unless all other claimants of
16 the same class, irrespective of residence or place of the acts or
17 contracts upon which their claims are based, shall have received an
18 equal dividend upon their claims, and after such equalization, such
19 claimants shall be entitled to share in the distribution of further
20 dividends by the receiver, along with and like all other creditors
21 of the same class, wheresoever residing.

22 ~~D.~~ E. Upon the declaration of a dividend, the receiver shall
23 apply the amount of the dividend against any indebtedness owed to
24 the insurer by the person entitled to the dividend. There shall be

1 no claim allowed for any deductible charged by a guaranty
2 association or entity performing a similar function.

3 ~~F.~~ F. This section shall apply to pending and future claims in
4 existing delinquency proceedings as well as to claims in delinquency
5 proceedings arising after the effective date of this section.

6 ~~F.~~ G. If any provision of this section or the application
7 thereof to any person or circumstances is held invalid, such
8 invalidity shall not affect other provisions or application of this
9 section to the extent such other provisions or application can be
10 given effect without the invalid provision or application.

11 SECTION 10. AMENDATORY 36 O.S. 2021, Section 1937, is
12 amended to read as follows:

13 Section 1937. A. For the purposes of this section the persons
14 entitled to protection under this section are:

15 1. The receiver, assistant receiver, and retained counsel
16 responsible for the conduct of a delinquency proceeding under
17 Article 19 of the Insurance Code, including present and former
18 receivers; and

19 2. Their employees meaning all present and former assistant
20 receivers and attorneys for the receiver appointed by the Insurance
21 Commissioner and all persons whom the Commissioner, assistant
22 receiver or retained counsel have employed, or contracted with, to
23 assist in a delinquency proceeding ~~under Article 19 of the Insurance~~
24 ~~Code~~ pursuant to Sections 1901 through 1938 of this title.

1 Attorneys, accountants, auditors and other professional persons or
2 firms, who are retained by the receiver as independent contractors
3 and their employees shall not be considered employees of the
4 receiver for purposes of this section.

5 B. If any legal action is commenced against the receiver or any
6 employee, whether against ~~him~~ such person personally or in his or
7 her official capacity, alleging property damage, property loss,
8 personal injury or other civil liability caused by or resulting from
9 any alleged act, error or omission of the receiver or any employee
10 arising out of or by reason of ~~their~~ his or her duties or
11 employment, the receiver and any employee shall be indemnified from
12 the assets of the insurer for all expenses, attorneys' fees,
13 judgments, settlements, decrees or amounts due and owing or paid in
14 satisfaction of or incurred in the defense of such legal action
15 unless it is determined upon a final adjudication on the merits that
16 the alleged act, error or omission of the receiver or employee
17 giving rise to the claim did not arise out of or by reason of his
18 duties or employment, or was caused by intentional or willful and
19 wanton misconduct.

20 1. Attorneys' fees and any and all related expenses incurred in
21 defending a legal action for which immunity or indemnity is
22 available under this section shall be paid from the assets of the
23 insurer, as they are incurred, in advance of the final disposition
24 of such action upon receipt of an undertaking by or on behalf of the

1 receiver or employee to repay the attorneys' fees and expenses if it
2 shall ultimately be determined upon a final adjudication on the
3 merits that the receiver or employee is not entitled to immunity or
4 indemnity under this section.

5 2. Any indemnification for expense payments, judgments,
6 settlements, decrees, attorneys' fees, surety bond premiums or other
7 amounts paid or to be paid from the insurer's assets pursuant to
8 this section shall be an administrative expense of the insurer.

9 3. In the event of any actual or threatened litigation against
10 a receiver or any employee for which immunity or indemnity may be
11 available under this section, a reasonable amount of funds which in
12 the judgment of the Insurance Commissioner may be needed to provide
13 immunity or indemnity shall be segregated and reserved from the
14 assets of the insurer as security for the payment of indemnity until
15 such time as all applicable statutes of limitation shall have run
16 and all actual or threatened actions against the receiver or any
17 employee have been completely and finally resolved, and all
18 obligations of the insurer and the Commissioner under this section
19 shall have been satisfied.

20 4. In lieu of segregation and reserving of funds, the ~~Insurance~~
21 Commissioner shall have the discretion to obtain a surety bond or
22 make other arrangements which shall enable the Commissioner to fully
23 secure the payment of all obligations ~~under~~ pursuant to this
24 section.

1 C. If any legal action against an employee for which indemnity
2 may be available ~~under~~ pursuant to this section is settled prior to
3 final adjudication on the merits, the insurer ~~must~~ shall pay the
4 settlement amount on behalf of the employee, or indemnify the
5 employee for the settlement amount, unless the ~~Insurance~~
6 Commissioner determines:

7 1. That the claim did not arise out of or by reason of the
8 employee's duties or employment; or

9 2. That the claim was caused by the intentional or willful and
10 wanton misconduct of the employee.

11 D. In any legal action in which the receiver is a defendant,
12 that portion of any settlement relating to the alleged act, error or
13 omission of the receiver shall be subject to the approval of the
14 court before which the delinquency proceeding is pending. The court
15 shall not approve that portion of the settlement if it determines:

16 1. That the claim did not arise out of or by reason of the
17 receiver's duties or employment; or

18 2. That the claim was caused by the intentional or willful and
19 wanton misconduct of the receiver.

20 E. Nothing contained or implied in this section shall operate,
21 or be construed or applied to deprive the receiver or any employee
22 of any immunity, indemnity, benefits of law, rights or any defense
23 otherwise available.
24

1 F. 1. No legal action shall lie against the receiver or any
2 employee based in whole or in part on any alleged act, error or
3 omission which took place prior to September 1, 1992, unless suit is
4 filed and valid service of process is obtained prior to September 1,
5 1993.

6 2. Subsections B, C, and D of this section shall apply to any
7 suit which is pending on or filed after September 1, 1992, without
8 regard to when the alleged act, error or omission took place.

9 SECTION 11. This act shall become effective November 1, 2026.

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11 COMMITTEE REPORT BY: COMMITTEE ON GOVERNMENT OVERSIGHT, dated
12 04/14/2026 - DO PASS

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